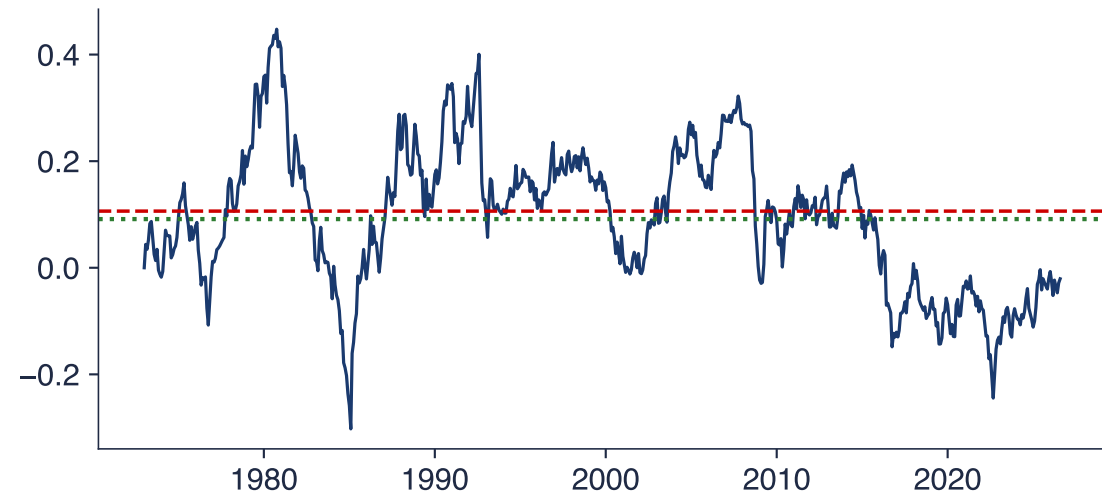
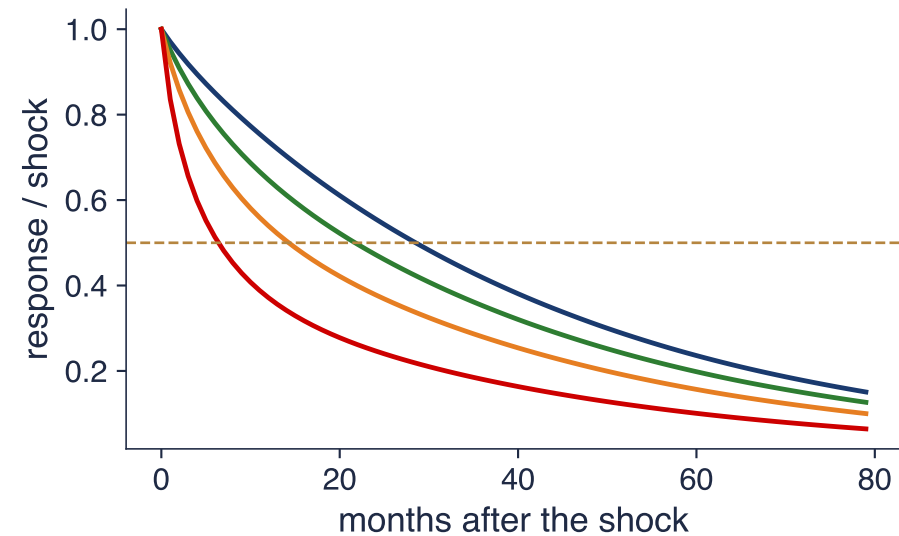




- log real dollar-sterling rate, $q(1973M01) = 0$
- - - equilibrium μ , 1973-1996: 0.106
- equilibrium μ , 1973-2026: 0.091



- shock 1%: half-life 29 months
- shock 10%: half-life 22 months
- shock 20%: half-life 15 months
- shock 40%: half-life 7 months